LUXAFLOR ROSES (PRIVATE) LIMITED & 3 OTHERS
versus
CBZ LIMITED
and
SHERIFF OF ZIMBABWE N.O

HIGH COURT OF ZIMBABWE
CHITAPI J
HARARE; 16 February 2026

Opposed Court Application

R.G. Zhuwarara, for the applicants
O. Mutero, for the 1st respondent

CHITAPI J: The parties are as cited in the heading. Upon commencement of the hearing, the parties abandoned all points in *limine* raised by both. Thus, this judgment is on the merits only. The applicant seeks a declarator which is worded in the draft order as follows:-

1. It is hereby declared that the applicants have discharged the obligation to pay costs of suit in terms of the bill of costs raised on 16 May, 2023.
2. The instruction by the first respondent and the second respondent to proceed with execution to recover costs of suit be and is hereby declared unlawful.
3. The writ of execution issued by the first respondent be and is hereby cancelled and/or set aside.
4. The first respondent shall pay costs at an ordinary scale.

The background to the application is as follows in summary. The first respondent obtained a default judgment against the four applicants on 15 March, 2023 in Case No. HCH 5239/21 per MUNANGATI-MANONGWA J for payment by the applicants to the first respondent of ZWL $93 062 149-76 and interest on the sum of ZWL $47 233 721-42 at the rate of 71% per annum subject to variation from time to time, costs of suit and collection commission. The judgment was satisfied save for taxed costs.

The bill of costs was taxed on 16 May, 2023 in the sum of US$23 919.15. The applicant paid the same amount in local currency. The applicant averred that it paid the bill at

the official rate obtained on the date of the bill of costs which I assume means date that the bill of costs was taxed.

The first respondent's legal practitioner contended that payment had to be calculated at the prevailing rate on the date of payment as opposed to the date of taxation. The issues for determination is therefore whether or not in converting payment of the bill from USD to the Zimbabwean dollar, the rate to be used is the rate that prevailed on the date of the taxation of the bill of costs or at the rate prevailing on the date that payment is made.

The applicants' argument is that the conversion is reckoned from the date that the bill was taxed which date can be likened to the invoice date. The applicants observed that although the bill should have been taxed in local currency, they resolved not to take issue with the taxation made in USD$.

The first respondent clarified that the amount of US$23 919.15 was comprised of costs incurred in the Supreme Court in the sum of US$12 513.15 and US $11 406.00 incurred in the High Court. The first respondent deposed that in the absence of a conversion having been made or been requested by the parties through counsel who attended taxation, the taxed costs amounted to judgment expressed in United States Dollars. Counsel called them USD judgments.

The first respondent deposed as follows in the opposing affidavit and this amplifies the issue of dispute between the parties:-

> "5 Ad paragraphs 14, 15, 16, 17 and 18.
> The contents of these paragraphs are denied. In particular:
> a. Applicants purported to settle the total taxed costs in the sum of US$23 919.15 in local currency on the 2nd April 2024, using a rate which was applied on the 16th May 2023 (i.e. date of last taxation) of 1: 1 404.39 and deposited with the Sheriff the sum of Z$36.800 000.00 as per annexures "P" and "Q". This was and is improper.
> b. The payment using a rate which was applicable on the 16th May, 2023 was and is incorrect and the amount is insufficient. They should have used the rate which was applicable on the date of payment (i.e. 2 April, 2024) which was 1:22 447 5305 as per annexure "R". This translates to Z$ 536 925 849.16. In USD terms applicants paid US$1 639.38 leaving a balance of US$22 279.77. Further nothing was paid towards the Sheriff's costs.
> c. Our legal practitioners of record advised applicants that the conversion rate should have been that which was prevailing on the date of payment as per annexure "S". We still maintain this position which is correct at law. The taxed bills of costs constitute a judgment in US dollars, and, which is executable. At law I am made to understand that judgments debts sounding in foreign currency are convertible to local currency at the rate prevailing on the date of payment or execution. Consequently, the dispute being declared by the applicants is artificial."

As far as the perceived dispute is concerned and without considering hair splitting arguments raised by counsel there appears to be no real issue here. The second

respondent taxed the bill in foreign currency and expressed the values without conversion to local currency. The taxed amount on that date was by conversion ascertainable by application of law. In simple terms the second respondent could have simply stated "Bill allowed and taxed on the sum of USD dollars equivalent to Y$ZWL". The value of the costs judgment debt was in the USD $ as stated which in turn had by law to be converted to local currency upon its being granted. Therefore on taxation the respondents held a judgment debt on USD$ which had through conversion on that date a $ZWL value. That is the value which the respondents had to go with. It was immediately due for payment. There is no logic in holding that the value in $ZWL should be calculated on the date of payment.

The Supreme Court dicta in the *Mabel Canvas (Pvt) Ltd* v *Chimbandi M & Taxing Officer* SC 105/23 quoted by the applicants' counsel in paragraph 35 of his heads of argument is apposite. It is stated thus,

> "the submission by Mr Mashuma that as the first respondent incurred liability which was valued and expressed in United States Dollars after the first effective date, it was required by the provisions of the s 22(i)(e) and s 23(i) of the Finance Act to settle the liability in RTGS dollars at the prevailing interbank rate between the two currencies on the date of taxation is correct."

The judgment debt was created on the date of taxation and had by law the USD value and the $ZWL value. Any prejudice which could be caused by a payment at a future date would be cured by *mora* interest if demand is made and payment is not effected.

The submissions by the respondents' counsel that the taxed costs order became a USD judgment debt does not affect the position in my view. It was not just a USD judgment. It was a judgment debt which the law required that it be converted to local currency. The applicants were accordingly correct to convert the debt at the rate applicable on the date that the taxation was finalized or pronounced. As to whether there has been full payment made, I will not declare so. It is a matter that the second respondent is seized with.

On costs, the issue I have answered is topical. It pertained to a point of law wherein the position and approach on this court has been varied in relation to what date should be used to convert costs judgment debts for purposes of settling the taxed costs. It must however, be noted that in the light of the *Mabel Canvass (Pvt) Ltd* case, the varied decisions of the court which are not in tandem with the Supreme Court's pronounced position have ceased to be good in law. On costs, I consider that I should not make an order of costs because of the confusion which the varied positions of this court has created for counsel. In

future however, the court may not be so generous because the Supreme Court cleared the issue and legal practitioners are guided accordingly for the applicants against first respondent. The following order disposes of this matter.

IT IS DECLARED THAT:

1. The amounts of taxed bills of costs denominated in United States dollars in Case No. HC 5239/21 and SC 324/22 shall for purposes of payment be converted to local currency at the prevailing interbank rate on the date of taxation.
2. Any execution to realize the taxed costs shall be done on the converted local currency as at the date of taxation.
3. There be no order of costs.

CHITAPI J:……

Tavenhave and Machingauta, for the applicants
Sawyer & Mkushi, first respondents legal practitioners